Policy Brief: Improving Formal Credit Access for Indian MSMEs

Evidence, policy options and recommendations | 2026

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Executive summary

India’s formal lending to micro, small and medium enterprises (MSMEs) has expanded, but access remains uneven and the sector’s financing needs are not fully met. The Small Industries Development Bank of India (SIDBI) reported that scheduled commercial bank credit outstanding to MSMEs reached approximately ₹31.3 lakh crore in FY2024–25, up 14.8% year-on-year. SIDBI also cited an estimated addressable MSME credit gap of about ₹30 lakh crore. These figures measure different things: outstanding bank credit is an observed stock, while the credit gap is an estimate of unmet addressable demand—not a government funding commitment or a precise count of excluded firms.

This brief recommends improving the usability of existing credit channels before relying primarily on new schemes: make loan processes more transparent, improve cash-flow-based assessment where reliable data and consent are available, strengthen receivables finance, and measure outcomes by firm size, location, sector and borrower type.

Problem statement

Credit constraints can prevent viable MSMEs from purchasing inputs, paying workers, investing in equipment and accepting new orders. Common frictions include limited or uneven financial records, collateral constraints, documentation burdens, information asymmetry between lenders and borrowers, and delayed customer payments. These frictions may be especially difficult for micro enterprises and firms with limited borrowing histories.

The policy problem is not simply that aggregate lending is too low. It is also whether viable enterprises can obtain appropriately sized, affordable and timely credit, and whether applicants understand the status and reasons for decisions.

What the evidence says

Credit is growing: SIDBI’s FY2024–25 annual-report material states that scheduled commercial bank credit outstanding to MSMEs reached about ₹31.3 lakh crore, growing 14.8% year-on-year.

A sizeable gap remains: SIDBI cites an estimated addressable credit gap of approximately ₹30 lakh crore, drawing on its report *Understanding Indian MSME Sector – Progress and Challenges*. The estimate should be presented with its methodology and scope, not treated as a directly observed shortfall in bank lending.

Process barriers are recognised by the regulator: the RBI’s Annual Report 2024–25 identifies information asymmetry, excessive documentation and lack of transparency as challenges in MSME credit access. It describes instructions including a 14-day turnaround time for loans up to ₹25 lakh for micro and small enterprise borrowers, credit-proposal tracking, written reasons for rejection and indicative document checklists.

Receivables matter: when buyers pay late, firms may face working-capital stress even when their underlying business is viable. Receivables-finance mechanisms such as TReDS can help eligible suppliers convert accepted invoices into financing, although onboarding and adoption frictions can limit usefulness.

Policy options and trade-offs

1. Improve application transparency and tracking. Require consistent digital status updates, clear document checklists, published turnaround-time performance and understandable written rejection reasons. Trade-off: additional reporting and technology costs for lenders; implementation should be proportionate for smaller institutions.
2. Expand responsible cash-flow-based assessment. Where firms consent, lenders can use reliable transaction, GST, bank-statement and other permitted data to complement conventional collateral and credit-history assessments. Trade-off: data quality, privacy, consent, fraud and model-bias risks; alternative data should supplement—not automatically replace—underwriting judgment.
3. Make receivables finance easier to use. Improve awareness and onboarding for TReDS and related invoice-financing routes, especially among smaller suppliers and their larger buyers. Trade-off: the mechanism depends on buyer participation, invoice acceptance and the commercial quality of receivables; it cannot solve every form of credit need.
4. Target outreach and measure outcomes by segment. Use district and cluster-level coordination to identify viable firms with limited formal-credit access, while tracking applications, approval rates, pricing, time to disbursal and subsequent repayment by enterprise size and region. Trade-off: more granular reporting can increase compliance burden and must protect commercially sensitive data.

Recommendations

First, strengthen implementation of existing transparency and turnaround-time requirements. Publish simple, comparable service metrics and monitor whether applicants receive document checklists, status updates and reasons for rejection.

Second, pilot consent-based cash-flow underwriting for selected MSME clusters and report results against a comparison group. Evaluate additional lending to previously underserved viable firms, approval time, pricing, default performance and complaints—not just the number of loans issued.

Third, coordinate lenders, industry associations and large buyers to improve TReDS awareness and participation. Track invoice-financing use among micro and small suppliers and identify where buyer onboarding is the binding constraint.

Fourth, create a public-facing MSME credit-access dashboard using aggregated, privacy-protected data. Disaggregate by micro/small/medium category, geography, sector, first-time borrower status, application outcomes and time to disbursal. Publish definitions and caveats so that changes in coverage are not confused with changes in underlying access.

Implementation and evaluation

Over the first 6–12 months, regulators and participating lenders could establish baseline measures, select pilot clusters, publish common definitions and launch a small number of pilots. At 12–24 months, an independent evaluation should compare outcomes with baseline and, where feasible, a comparison group.

Core indicators: application completion rate; median decision and disbursal time; approval and rejection rates; share of first-time formal borrowers; effective borrowing cost; share of applications receiving written reasons for rejection; use of receivables finance; delinquency/default outcomes; and complaints resolved. Report results by firm size and location to reveal whether aggregate gains are reaching micro enterprises.

Conclusion

India has expanded formal MSME lending, but aggregate credit growth alone cannot establish that viable firms are receiving the right amount of credit at the right time and cost. A practical policy agenda should pair transparent loan processes with responsible data-enabled underwriting, usable receivables finance and outcome measurement. The priority is to improve access and accountability while preserving sound credit standards, privacy and lender risk management.

Selected references

SIDBI, Annual Report 2024–25, “MSME Outlook”. https://www.sidbi.in/annualreport/AnnualReport202425/msme-outlook.php

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Reserve Bank of India, Annual Report 2024–25, Chapter IV: Credit Delivery and Financial Inclusion. https://www.rbi.org.in/scripts/AnnualReportPublications.aspx?Id=1434

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